The treaty stated that India had agreed to provide arms, ammunition and support for the growth of commerce and industry in Nepal, that the aim of the two countries was to maintain everlasting peace and friendship, that both governments would mutually acknowledge and respect each other's complete sovereignty, territorial integrity and independence, that the two governments had consciously decided that no third country should cause any friction in their relationship and in case there was any breach or friction, they would not hesitate to inform each other, and finally, that Nepal should be free to import arms, ammunition or any other warlike material and equipment necessary for its security from India.

Turbulent Past

A democratic political system was introduced in Nepal in 1951, after almost three hundred years of monarchy. However, the constitution was only approved in 1959, whereupon the first general election was held for parliament. The Nepali Congress won an overwhelming victory and formed Nepal's first popular government. But the government was dismissed in December 1960, when King Mahendra Bir Bikram Shah Dev, whose reign began in 1955, found himself locked in perpetual conflict with the cabinet.

R&AW had not yet been born and the Intelligence Bureau (IB) was the sole Indian intelligence organisation keeping an eye on domestic and foreign developments affecting India. The dismissal of the Nepali Congress government meant that Nepal was in turmoil again and a report of the Ministry of External Affairs (MEA) drafted by Joint Secretary K.L. Mehta on 13 February 1962 revealed that internal strife in Nepal was